

ECONOMY

LECTURES



GLOBALISATION

MODULE - 11

ECONOMY

GLOBALISATION



USA



EU



BARRIER



CHINA



INDIA



TAIWAN

ECONOMY

GLOBALISATION



1

It is the outcome of the policies of liberalisation and privatisation

2

It is free movement of trade, investments, people, services and technologies across the countries boundaries (with some controls)

3

It is a complex phenomenon and various commercial activities are being undertaken in the places, wherever it is cheaper to do so

4

It led to greater interdependence and integration

5

It involves creation of networks and activities transcending economic, social and geographical boundaries

Hence, happenings in one country can be influenced by happenings in another country

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SEE THE COMPLEX WEB OF
GLOBALISATION !



ECONOMY

OUTSOURCING... OFFSHOOT OF GLOBALISATION



- 1 Companies hire regular services from external sources mostly from other countries
- 2 The services include backend computer related.
- 3 This has intensified in recent times, because of the advent in Information and Communication Technology (ICT)
- 4 The low wage rates and availability of English speaking skilled manpower in India have made it a destination for global outsourcing in the post reform period of India

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GLOBALISATION

ADVANTAGES



TOYOTA

- 1 Competition resulted in increased productivity of domestic industries (partially true in our country)
- 2 Improved quality and lower prices for various products
- 3 Wider choice for the consumers
- 4 Much higher standards of living than earlier for some sections of society
- 5 Technology transfer and technology upgradation benefitted domestic companies to some extent
- 6 IT sector proliferated immensely
- 7 Local companies supplying raw materials also benefitted in some cases.
- 8 Some Indian companies became MNCs

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WIDE VARIETY OF MOBILE PHONES



SAMSUNG



BLACKBERRY



HTC



APPLE

ECONOMY

WIDE VARIETY OF CARS



VOLKSWAGEN



FORD



MERCEDES BENZ



HONDA



BMW



TOYOTA

ECONOMY



GLOBALISATION



ADVANTAGES



TOYOTA

ADDITIONAL POINTS

- 1 There is substantial improvement in FPI and FDI
 - In 1990-91, both **FPI and FDI** put together was just **100 million dollars**
 - During 2015-16, **FDI flows alone** are around **40 billion dollars**

- 2 Foreign exchange reserves in 1990-91 came down to almost half a billion dollars and **at present they are 373 billion dollars**

- 3 GDP growth rate prior to 1980 was known as **Hindu rate of growth** and was around 3% and
 - During 1980-91, **GDP growth** was **5.6%**
 - During 1992-2002, it was **6.4%**
 - During the tenth plan period of **2002-2007**, it was **8%**
 - During eleventh plan period, **it is around 9%**

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ADVANTAGES



TOYOTA

ADDITIONAL POINTS



corus



VSNL



A Tata Steel Enterprise

4 Most of the GDP growth predominantly due to services sector

5 Because of globalisation, Indian companies made footprint abroad like Tata's acquisition of Tetley, Corus and NatSteel as well as acquisitions by companies like VSNL

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DISADVANTAGES



TOYOTA

- 1 Well-off sections in urban areas are mostly benefitted
- 2 Some small producers were decimated due to global competition
- 3 Several industries like manufacturing of batteries, plastic toys, tyres etc., were shut down
- 4 Due to the shut down of some MSMEs, several people became jobless
- 5 More employment is being created as flexible / temporary basis due to competition / uncertainty
- 6 Indian manufacturing sector as a whole suffered but services sector benefitted
- 7 Domestic industries, also suffered due to subsidies in some countries

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DISADVANTAGES

TOYOTA

ADDITIONAL POINTS

- 1 Reform led growth has **not created sufficient employment** and though growth is substantial, **employment generation is not commensurate**
- 2 **Public investment in agriculture sector especially in infrastructure** like irrigation, power, roads, market linkages, R&D was reduced in the reform period and **this is the biggest drawback of the economic reforms**
- 3 Because of global competition, **certain MSMEs were all together eliminated**. One classic example is toys
- 4 Because of the reforms in power sector, there was a **steep hike in power tariff** and it impacted certain sections of society and one classic example is **suicides of Sircilla power looms**

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DISADVANTAGES

TOYOTA

ADDITIONAL POINTS

- 5 Small and marginal farmers have been affected badly and the case in point is suicides of cotton growers in Deccan part of the country
- 6 Industrial sector was also suffered because of two reasons
 - Our products are not world class
 - Cheaper imports replaced demand for domestic goods
- 7 Due to globalisation only certain sectors attracted investment and infrastructure still remained inadequate across the country
- 8 Protectionist policies adopted by developed countries have not resulted in level playing field
- 9 Because of the reduction in tariffs and because of the pressure from multilateral lending institutions, overall there is negative impact on the developmental and welfare expenditure

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